

Figure 8.12 GEM and ACWI Rolling Five-Year Maximum Drawdown, 1979–2013

Figure 8.13 shows GEM quarterly returns plotted against corresponding ACWI quarterly returns rolling forward through the data one month at a time. We see in the lower left quadrant of the chart how the use of absolute momentum in GEM truncates much of the drawdown that shows up in ACWI. On the other hand, the upward sloping linear relationship in the upper-right quadrant of the chart shows that most positive ACWI returns pass through unaltered to GEM.

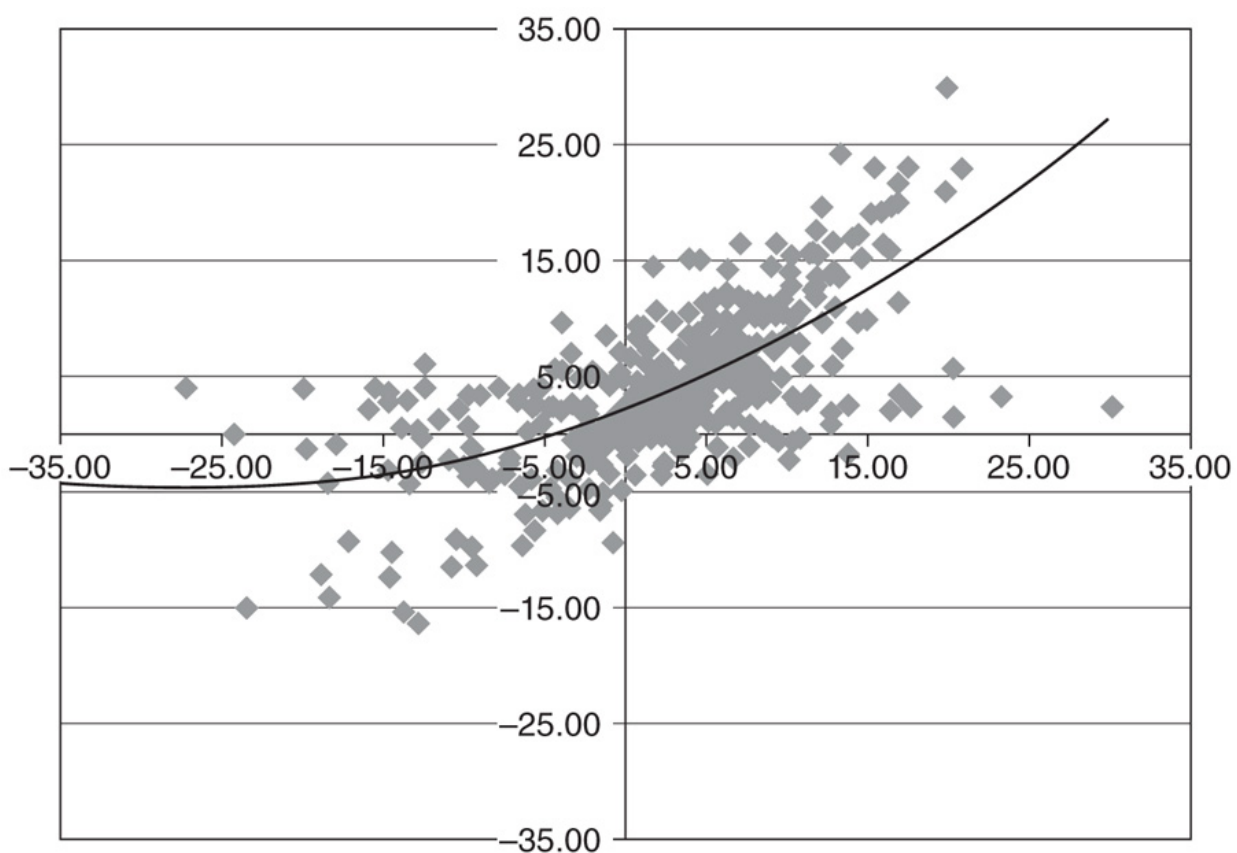


Figure 8.13 Quarterly Returns GEM versus ACWI, 1974–2013

Figure 8.14 is a box plot giving a reward-to-risk view based on rolling 12-month returns. Box plots give a simultaneous view of each strategy's reward and variability characteristics. The long vertical lines are the ranges of returns (excluding extreme outliers), while the rectangular boxes show